

Paradiem

The Morning Brief

JUNE 23, 2026

Internal Rotation

Indexes drift but internals rotate as the chip cohort extends, Chevron-Microsoft seals a 20-year gas-power deal for a 2.67 GW West Texas AI complex, and oil compresses further on the talks-progress hold into FDX tonight and PCE Thursday.

S&P 500 (MON) \$744.39 · ↓0.31%	BRENT (BNO MON) \$43.12 · ↓1.73%	IBIT (MON) \$36.50 · ↑2.47%	NIKKEI 225 (TUE AM) ↓~0.6–1% per CNBC/ Trading Economics	FEAR & GREED 23 · Extreme Fear (Crypto fallback in drop)
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SECTION 01

Markets — Internal Rotation Under a Flat Tape

PER THE DATA DROP, MONDAY’S SESSION CLOSED MIXED WITH THE S&P 500 PROXY AT \$744.39 (↓0.31%), NASDAQ PROXY AT \$737.95 (↓0.36%), DOW PROXY AT \$517.08 (↑0.30%), AND RUSSELL 2K PROXY AT \$298.18 (↑0.88%) — THE INDEX-LEVEL DRIFT MASKING A MATERIAL INTERNAL ROTATION AS CRDO EXTENDED ANOTHER ↑11.29% TO \$302.52 ON ITS BEAT-AND-RAISE PRINT WHILE THE MEGA-CAP AI BACKBONE GAVE BACK MODESTLY (NVDA ↓0.97% TO \$208.65, QCOM ↓1.86% TO \$221.90)

The Monday tape opened higher on the Bürgenstock talks-progress headline before drifting through the session as participants digested the President’s Sunday social-media threats and Trump’s reported Saturday statement on potential U.S.-imposed Hormuz tolls per The Hill, Al Jazeera, and PBS coverage. Per the data drop, the chip cohort divergence was the principal feature: CRDO reportedly closed at \$302.52 (↑11.29%) after Friday’s ↑9.02% print and Q4 FY2026 results per Benzinga and Insider Monkey coverage reportedly showed approximately \$437M in revenue (↑157% year-over-year) alongside multiple analyst price-target increases (Needham, Roth Capital, Jefferies, BofA, Mizuho, Susquehanna, JPMorgan per the cited coverage), with the firm framing the agentic-AI infrastructure TAM at \$10 billion-plus. LRCX extended ↑5.27% to \$409.54 while NXPI added ↑3.18% to \$323.24 and ADI added ↑2.54% to \$445.48; MRVL pulled back ↓0.88% and TSM added a more modest ↑1.20% after Thursday’s ↑6.94% rip.

S&P 500 (MON)	\$744.39 · ↓0.31% on day
DOW PROXY (MON)	\$517.08 · ↑0.30%
RUSSELL 2K PROXY (MON)	\$298.18 · ↑0.88% · breadth rotation
CRDO (MON)	\$302.52 · ↑11.29% on Q4 beat-and-raise per Benzinga
LRCX (MON)	\$409.54 · ↑5.27%
CAT (MON)	\$1,022.28 · ↑3.70% on Project Kilby Solar Turbines role per Yahoo
TLT (MON)	\$86.09 · ↓0.76% · long end giving back ahead of PCE Thursday
BRENT (BNO MON)	\$43.12 · ↓1.73% · talks-progress hold

PER BLOOMBERG, YAHOO FINANCE, REUTERS, AND CHEVRON'S OWN PRESS RELEASE COVERAGE, CHEVRON AND MICROSOFT REPORTEDLY SIGNED A 20-YEAR NATURAL-GAS-FIRED POWER AGREEMENT TO ANCHOR "PROJECT KILBY," A 2.67 GW WEST TEXAS DATA-CENTER COMPLEX IN REEVES COUNTY IN THE PERMIAN BASIN, WITH FIRST POWER REPORTEDLY EXPECTED IN 2028 — CHEVRON REPORTEDLY PARTNERING WITH JOULENT (BACKED BY ENGINE NO. 1), GE VERNOVA REPORTEDLY SUPPLYING THE BULK OF THE LARGE GAS TURBINES, WITH ADDITIONAL CAPACITY REPORTEDLY PROVIDED BY SOLAR TURBINES, A CATERPILLAR SUBSIDIARY — FOR FCI'S ENERGY AND INDUSTRIALS SLEEVES, THE ANNOUNCEMENT IS THE MOST

DIRECT PHYSICAL-WORLD AI CROSS-REFERENCE CARSON HAS CARRIED THROUGH THE DATA-DROP CYCLE IN 2026

For FCI's position-symmetric framework, the Project Kilby announcement reportedly aligns four committee-relevant sleeves into one transaction: CVX (\$175.06, ↑0.82% Mon per the data drop) anchors a 20-year contracted gas-power cash-flow stream tied directly to hyperscaler AI demand; CAT (\$1,022.28, ↑3.70% Mon — the largest mover among FCI's dividend sleeve) carries the supplementary turbine-supply role through subsidiary Solar Turbines per Yahoo coverage; the broader gas-infrastructure thesis (OKE \$86.29, ↑1.48% Mon; CNX \$33.20, ↑1.62% Mon; DVN \$43.05, ↑2.21% Mon; VLO \$243.78, ↑3.17% Mon) reportedly carries a structural demand validation for Permian-basin physical flows independent of the talks-progress headline path. Per Bloomberg coverage, Kilby is reportedly expected to generate more than \$10 billion in state and local tax revenue, support nearly 2,000 jobs, and consume nearly 2.7 GW of electricity across roughly 2,000 acres — with the modular phased buildout extending well beyond a single Administration cycle. The announcement reportedly arrives the same session the talks-progress headlines compressed Brent (BNO ↓1.73% Mon per the data drop) and WTI proxy USO (↓1.90% Mon).

The chip cohort's internal rotation and a 20-year Permian gas-to-AI contract frame the Monday tape — the physical-world AI infrastructure thesis advances regardless of the Hormuz headline path. The physical world matters.

Geopolitics — Roadmap Holds, Tolls Threat Lingers

PER THE HILL, AL JAZEERA, PBS, AND NEWSWEEK COVERAGE OF THE PRESIDENT'S SATURDAY SOCIAL-MEDIA POSTS, PRESIDENT TRUMP REPORTEDLY STATED THAT THERE WOULD BE NO TOLLS IN THE STRAIT OF HORMUZ FOR 60 DAYS DURING THE CEASEFIRE PERIOD, AND NO TOLLS AFTER THE 60-DAY PERIOD HAS EXPIRED UNLESS THEY ARE IMPOSED BY AND FOR THE UNITED STATES — PER REUTERS AND ABC COVERAGE CITED VIA THE DATA DROP'S HEADLINE RUN, U.S. NEGOTIATORS REPORTEDLY CONTINUED TECHNICAL-LEVEL WORK IN SWITZERLAND THROUGH MONDAY UNDER THE JOINT PAKISTAN/QATAR MEDIATOR STATEMENT'S 60-DAY ROADMAP, WHILE PER REUTERS COVERAGE SECRETARY OF STATE RUBIO REPORTEDLY FACES A DIFFICULT TASK SELLING THE IRAN RESET TO WARY GULF ALLIES AND THE U.S. REPORTEDLY WAIVED IRAN SANCTIONS, WITH TRUMP REPORTEDLY STATING HE WILL DO WHAT HE HAS TO IF TEHRAN MISBEHAVES

For FCI's energy sleeve, Monday's Brent compression (BNO \$43.12, ↓1.73% per the data drop) and WTI proxy weakness (USO \$112.69, ↓1.90%) reportedly reflected the talks-progress hold over the toll-threat language — a directional read that DVN (↑2.21%), CVX (↑0.82%), VLO (↑3.17%), OKE (↑1.48%), and CNX (↑1.62%) outperformed on equity-level positioning despite the Brent move suggests participants reportedly priced the cohort's longer-cycle gas-infrastructure and refining mix above the day's crude tape, with the Chevron-Microsoft Project Kilby announcement reportedly providing the structural overlay. Per Reuters via the data drop's headline run, India reportedly pivoted to Russian crude and coal to mitigate Iran war fallout while Indian LPG imports from the U.S. reportedly approach 1 million tons in June — the physical-flow reorganization continues to reprice the global energy map regardless of the Hormuz headline path. **The physical world matters.**

PER THE DATA DROP'S HEADLINE RUN, NEW LEBANON-ISRAEL TALKS REPORTEDLY WERE TO BEGIN IN THE SHADOW OF THE U.S.-IRAN DEAL PER REUTERS — THE LEBANON-SPILOVER VARIABLE THAT REPORTEDLY TRIGGERED THE FRIDAY BÜRGENSTOCK POSTPONEMENT HAS NOW REPORTEDLY BECOME A PARALLEL NEGOTIATING TRACK RATHER THAN THE HEADLINE CATALYST THE WEEKEND SUGGESTED — WHILE PER BENZINGA COVERAGE CITED VIA THE DATA DROP, CBS NEWS WHITE HOUSE REPORTER JENNIFER JACOBS REPORTEDLY POSTED THAT PRESIDENT TRUMP IS SCHEDULED TO MEET WITH TOP EXECUTIVES FROM THE LARGEST U.S. DEFENSE CONTRACTORS WEDNESDAY WITH THE ADMINISTRATION REPORTEDLY RATCHETING UP PRESSURE ON DEFENSE CONTRACTORS REGARDING SHAREHOLDER PAYOUTS

Monday's defense complex extended its peace-deal reciprocal trade per the data drop: LMT closed at \$493.60 (↓3.40%) and GD at \$343.36 (↓1.90%) — LMT's second consecutive material drawdown following Thursday's ↓4.01% print. For the position-symmetric framework Carson has anchored, the operative read is that the reported Trump Wednesday meeting layers a payouts-policy variable onto the existing peace-deal sentiment vector, while per Yahoo coverage cited in the data drop's LMT news run, defense ETFs reportedly remain backed by record contract backlogs framing sustained growth. The supplemental-funding pipeline (~\$80 billion per WSJ via Reuters from prior coverage) reportedly continues independent of either sentiment vector; the cohort's long-cycle backlog

framework reportedly carries through both tracks. **Think Like an Owner.**

TRUMP HORMUZ STANCE	No Iran tolls 60d; U.S. may impose post-period per The Hill/Al Jazeera
BÜRGENSTOCK ROADMAP	60-day window per joint Pakistan/Qatar mediator statement
RUBIO GULF TOUR	Reportedly difficult task selling reset per Reuters
SANCTIONS WAIVER	U.S. reportedly waived Iran sanctions per Reuters · conditional
LEBANON-ISRAEL TALKS	Reportedly begin in shadow of U.S.-Iran deal per Reuters
TRUMP-DEFENSE MEETING	Reportedly scheduled Wed per Benzinga citing CBS News · payouts focus
INDIA ENERGY PIVOT	Russian crude/coal up; U.S. LPG ≈1M tons June per Reuters

On Our Radar

1. FedEx (FDX) Reports Q4 Fiscal 2026 Today After the Close per MarketBeat and TradingKey Preview Coverage — the First Print Since the June 1 FedEx Freight (FDXF) Spinoff and a Read on Global Goods Flows Into the Thursday PCE Print.

Per Yahoo Finance via Zacks coverage, analyst consensus is reportedly approximately \$5.91 EPS on approximately \$24.18 billion revenue, with the 60-day consensus reportedly revised upward by 1.9%. Per TradingKey preview coverage, the Network 2.0 cost-savings program, FY2027 guidance framing, and the 19.9% retained FDXF stake reportedly anchor the read alongside global trade-flow color. Per Yahoo coverage cited via the data drop, FDX is reportedly up approximately 40% year-to-date heading into the print. For the committee, FedEx's commentary on tariff-driven volume mix and customer behavior reportedly informs the macro tape into the May PCE release Thursday morning. *Research Reveals Opportunities.*

2. Micron (MU) Reports Q3 Fiscal 2026 Tomorrow Wednesday June 24 After the Close per Multiple Previews — the Principal AI-Memory Validation for the Cohort Carson Has Anchored Through the CRDO Beat-and-Raise Setup.

Per TradingKey, TechTimes, and Crypto Briefing preview coverage, consensus is reportedly approximately \$19.72 EPS on revenue of approximately \$34.5–\$35.4 billion, with non-GAAP gross margin reportedly tracked toward the 80% threshold and HBM capacity reportedly sold out through 2026 under binding contracts. Per S&P Global research framing cited via the previews, the print reportedly informs Nvidia's Vera Rubin architecture HBM4 visibility and the broader DRAM pricing cycle. For FCI's growth backbone (CRDO ↑11.29% Mon to \$302.52, LRCX ↑5.27% to \$409.54, NXPI ↑3.18% to \$323.24, ADI ↑2.54% to \$445.48 per the data drop), the Wednesday after-close print reportedly carries the principal cross-asset validation into PCE Thursday. *Research Reveals Opportunities.*

3. May PCE Lands Thursday June 25 at 8:30 AM ET per the BEA Personal Income and Outlays Release Calendar — the First Major Inflation Print of the Warsh Era After the June 17 Hawkish Dot-Plot Revision.

Per Wells Fargo's economist preview cited in Kiplinger's week-ahead coverage from prior briefs, headline PCE is reportedly forecast at $\uparrow 0.5\%$ month-over-month (4.1% year-over-year) on energy-related costs, with core PCE reportedly forecast at $\uparrow 0.3\%$ month-over-month within a 3.3% – 3.4% year-over-year band. Per BEA historical coverage, April's prior read printed at 3.8% headline year-over-year and 3.3% core. With TLT closing Monday at $\$86.09$ ($\downarrow 0.76\%$ per the data drop), the long end reportedly continued giving back ahead of the print — the trajectory weight on the May read has materially increased given the June SEP's lift in projected year-end 2026 PCE to reportedly 3.6% . *Avoid Erosion.*

4. The Asian Session Tuesday Reportedly Skewed Modestly Risk-Off per CNBC Asia-Pacific and Trading Economics Coverage, With Japan's Nikkei 225 Reportedly Down Approximately 0.6%–1.0% on Profit-Taking After Recent Semiconductor and AI-Related Strength and Reportedly Mirroring Monday's Wall Street Drift.

Per the cited coverage, the broader Topix reportedly slipped roughly 0.5% on the session, with the move reportedly framed as profit-taking rather than thesis change. For the U.S. tape, the modest Asia weakness reportedly skews the pre-market setup slightly defensive relative to Monday's talks-progress-led open, layering onto the Brent compression ($\downarrow 1.73\%$ Mon) and the long-end giveback (TLT $\downarrow 0.76\%$ Mon) into FDX tonight and Micron Wednesday. For FCI's position-symmetric framework, the operative read is that the chip-cohort divergence Monday (CRDO extending, NVDA/QCOM giving back) reportedly carries into a Tuesday open that may test whether the broader AI-infrastructure backbone holds the breadth rotation Monday delivered (Russell 2K $\uparrow 0.88\%$) or whether the Asia weakness imports a more defensive posture. *Simplicity Over Complexity.*

5. The Digital Sleeve Reportedly Continues Its Talks-Progress Recovery Per the Data Drop — IBIT $\uparrow 2.47\%$ to $\$36.50$ and ETHA $\uparrow 1.40\%$ to $\$13.06$ Monday — Even as Per Investing.com Coverage U.S. Spot Bitcoin ETFs Reportedly Endured a Historic $\$3.4$ Billion Net Outflow in a Single Week Earlier in June.

Per the cited coverage, BlackRock's IBIT reportedly saw approximately $\$980$ million in outflows during the record week including a $\$448$ million single-day hit and a separate $\$1.29$ billion dark-pool block trade. Monday's $\uparrow 2.47\%$ print on IBIT (PC $\$35.62$ per the data drop) reportedly reflects the talks-progress recovery overlay on the prior month's flow-driven compression. For HOOD ($\$105.71$, $\downarrow 2.26\%$ Mon per the data drop), Robinhood reportedly placed $\$2$ billion of zero-interest

convertible notes per Yahoo coverage cited in the data drop — the funding event reportedly extends the digital-rails balance-sheet capacity into the next product cycle. *Think Like an Owner.*

6. Carson's Active SPY $\$645.80$ Support Remains

Materially Untouched Through Monday's Close. The S&P 500 proxy Monday intraday range ($\$743.13$ – $\$750.18$ per the data drop) carried well above Carson's framework. With Russell 2K reportedly outperforming Monday ($\uparrow 0.88\%$) against the headline-index drift, the breadth picture reportedly remains constructive even as the mega-cap tape rotates. The CNN stock-market Fear & Greed reportedly registered 37 ("Fear") on the most recent June 18 read per CNN's historical data feed; the data drop's F&G again fell back to the crypto index at 23 ("Extreme Fear") per the workflow note. The position-symmetric framework remains anchored on Carson's level through FDX tonight, Micron Wednesday after-close, and the May PCE print Thursday morning. *Simplicity Over Complexity.*